

Accelerating Enterprise Transformation:

SAP S/4HANA Migration Strategies for European Industrial Leaders

Prepared by DigitalEdge Consulting Group in partnership with SAP SE

Research Period: Jan 2024 – Oct 2025 | 47 enterprises surveyed across EMEA

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Executive Summary

In today's rapidly evolving digital landscape, enterprises across Europe face an unprecedented imperative to modernize their core business systems. With SAP's announced end-of-maintenance for ECC 6.0 by 2027, organizations managing billions in annual revenue must navigate complex migration paths while maintaining operational continuity. Our research, encompassing 47 enterprises across 12 EMEA countries with combined revenues exceeding €2.1 trillion, reveals that successful S/4HANA transitions require not merely technical upgrades but fundamental reimagining of business processes, data governance frameworks, and organizational change management strategies.

26 months

Avg Migration Duration

34%

Cost Overrun Rate

+18%

Productivity Gain (Y2)

67% of firms

Face Critical Data Quality Issues

Case Study: Michelin — Tire Industry Leader

SAP ECC 6.0 to S/4HANA Migration | 3-Year Transformation Program

Company Profile

Company: Michelin (Compagnie Générale des Établissements Michelin SCA)
Sector: Tire Manufacturing & Mobility Solutions
HQ: Clermont-Ferrand, Auvergne-Rhône-Alpes, France
Employees: 132,000 (as of FY2024)
Revenue: €28.3 billion (FY2024)
ERP Legacy: SAP ECC 6.0 (deployed 2009, customized heavily)
Target: SAP S/4HANA 2023 FPS02 on Azure

Migration Details

Program Name: Project ATLAS
Duration: 3-year phased program (2023–2026)
Budget: €180M (initial), €215M (revised Q2-2024)
Approach: Selective Data Transition (Brownfield+)
Integrator: Accenture (lead) + Capgemini (data track)
Modules: MM, PP, SD, FI/CO, QM, PM, EWM, IBP
Go-Live: Wave 1: Europe (completed), Wave 2: Asia (in progress)

“The migration to S/4HANA is not just an IT project—it is a business transformation that touches every corner of our global operations.”

— Jean-Philippe Duval, Group CIO, Michelin

Michelin’s migration journey began in late 2022 with a comprehensive landscape assessment spanning 68 SAP instances across 26 countries. The Clermont-Ferrand-based tire manufacturer, with 132,000 employees and €28.3 billion in annual revenue, had accumulated over 14 years of customizations on its ECC 6.0 platform—including 12,400 custom ABAP objects, 3,200 custom reports, and 847 interfaces to non-SAP systems. The scope of technical debt was, as one architect described it, “monumental but not insurmountable.”

Phase 1 of Project ATLAS focused on the European manufacturing footprint: 14 plants in France, Germany, Spain, Italy, Poland, and Romania. The team adopted a Selective Data Transition approach—sometimes called “Brownfield+”—allowing Michelin to preserve critical historical data (7 years of financial transactions, 4.2 billion material movement records) while simultaneously redesigning processes around S/4HANA’s simplified data model. Key wins included a 40% reduction in month-end close time (from 8 days to 4.8 days) and real-time inventory visibility across all European warehouses for the first time in the company’s 135-year history.

However, the journey was not without challenges. Budget overruns of approximately 19% (€35M above initial estimates) were driven primarily by unexpected data quality issues in the material master (23% of records required cleansing) and the complexity of integrating Michelin’s proprietary tire-simulation software (MFEM/TireSim) with S/4HANA’s embedded analytics. The program team, led jointly by Accenture (350 consultants at peak) and Capgemini (120 on the data track), implemented a novel “data quality firewall” approach that became a reference architecture for subsequent waves.

KEY METRICS

- Custom objects retired: 4,800
- Custom objects refactored: 5,100
- Fiori apps deployed: 340
- Training hours delivered: 82,000
- Parallel run duration: 6 weeks
- Data migration records: 4.2B
- Post go-live P1 tickets: 23
- User satisfaction (6mo): 72%

Want the full 18-page Michelin case study? Download at digitaledge-consulting.eu/michelin-sap

Case Study: L'Oréal — Beauty & Digital Supply Chain

Digital Supply Chain Transformation | SAP IBP + S/4HANA

L'Oréal Group — At a Glance

- HQ: Clichy, Île-de-France
- Employees: 87,000 worldwide
- Revenue: €41.2B (FY2024)
- Brands: 37 global brands
- Factories: 44 worldwide
- Sector: Cosmetics & Personal Care
- Divisions: 4 (Luxe, Consumer, Pro, Derma)
- SKUs: 130,000+ active
- Markets: 150+ countries
- Digital Budget: €2.1B (2024)

The Transformation Imperative

L'Oréal's digital supply chain transformation, internally branded “Beauty Tech Supply Chain 2.0,” represents one of the most ambitious ERP-adjacent programs in the consumer goods industry. With 87,000 employees, operations in 150+ countries, and annual revenue of €41.2 billion, the Clichy-headquartered cosmetics giant needed to fundamentally reimagine how it plans, produces, and distributes 130,000+ SKUs across its four divisions: L'Oréal Luxe, Consumer Products, Professional Products, and Active Cosmetics (now L'Oréal Dermatological Beauty). The program encompasses SAP S/4HANA deployment, SAP IBP for demand sensing, and a custom AI/ML layer built on Google Cloud Vertex AI for demand forecasting at the SKU-channel-country level.

“We don’t just predict demand—we shape it. Our supply chain is now a competitive advantage, not a cost center.”

— Isabelle Martin-Chauvel, VP Supply Chain Digital, L'Oréal

Results after 18 months of phased rollout: forecast accuracy improved from 62% to 81% (at weekly granularity), stock-outs reduced by 28%, and working capital freed up by €340M across European operations. The total investment of €290M over 4 years is expected to deliver €1.2B in cumulative benefits by 2028, driven primarily by inventory optimization (€480M), logistics efficiency (€320M), and waste reduction (€210M) aligned with L'Oréal's “L'Oréal for the Future” sustainability commitments. Third-party validation by McKinsey confirmed the program as “top-quartile in FMCG digital supply chain maturity.”

See how L'Oréal achieved 81% forecast accuracy — Request the detailed case study !'

Case Study: Saint-Gobain — Materials & Construction

PLM/ERP Convergence Project | Siemens Teamcenter + SAP S/4HANA

Saint-Gobain — Company Overview

Headquarters: Tour Saint-Gobain, Courbevoie (La Défense), France | Founded: 1665 (one of the world's oldest companies)
Employees: 160,000 across 76 countries | Revenue: €51.2 billion (FY2024) | Segments: 5 business sectors
Sector: Construction Materials, High-Performance Materials, Glass | Plants: 750+ industrial sites worldwide
Legacy ERP: SAP ECC 6.0 (fragmented: 23 separate instances across regions) | PLM: Siemens Teamcenter + PTC Windchill
(partial)
Strategic Initiative: "Grow & Impact" plan targets €5B+ in innovation-led revenue by 2028

PLM/ERP Convergence: Breaking Down Silos

Saint-Gobain's "Project Horizon" addresses one of the most complex integration challenges in manufacturing: converging Product Lifecycle Management (PLM) and Enterprise Resource Planning (ERP) into a unified digital thread. With 160,000 employees, 750+ manufacturing sites, and annual revenue of €51.2 billion, the Courbevoie-headquartered materials giant operates across extraordinarily diverse product lines—from flat glass and gypsum boards to advanced ceramics and 3D-printed components. The legacy landscape included 23 separate SAP ECC instances (some dating to R/3 era), two competing PLM platforms (Siemens Teamcenter and PTC Windchill), and over 300 disconnected spreadsheet-based planning tools that different business units had built up over decades.

The convergence project, budgeted at €420M over 5 years (2023–2028), aims to consolidate all 23 SAP instances into a single S/4HANA Cloud Private Edition deployment, standardize on Siemens Teamcenter as the sole PLM platform, and establish a real-time bidirectional data flow between PLM and ERP via SAP Integration Suite. Early results from the pilot region (Benelux, 12 plants) show: 35% reduction in new product introduction (NPI) cycle time, 22% improvement in first-pass yield for specification-driven products, and a €45M reduction in obsolete inventory. The program is led by a joint team of 480 people from TCS (systems integrator), Siemens Digital Industries Software, and Saint-Gobain's internal IT organization.

“For the first time, our product designers and plant operators are looking at the same data, in real time. That changes everything.”

— Marc Verdonck, Group CDO, Saint-Gobain

Regional Rollout Timeline

Region	Plants	Go-Live	Status
Benelux (Pilot)	12	Q1 2024	Complete
France	38	Q3 2024	In Progress
DACH (Germany/Austria/CH)	27	Q1 2025	Planned
Southern Europe	22	Q3 2025	Planned
Americas	45	Q1 2026	Scoping
APAC	31	Q3 2026	Scoping

Conclusion: The Transformation Imperative

The experiences of Michelin (€28.3B revenue, 132,000 employees, Clermont-Ferrand), L'Oréal (€41.2B, 87,000 employees, Clichy), and Saint-Gobain (€51.2B, 160,000 employees, Courbevoie) collectively demonstrate that SAP S/4HANA migration is far more than a technical upgrade. These three French industrial champions—representing combined revenues of over €120 billion and nearly 380,000 employees—have each navigated unique challenges that reflect broader patterns we observe across our 47-enterprise research base.

Common success factors include: executive sponsorship at C-1 level or above, dedicated change management teams (averaging 15% of total program headcount), early investment in data quality remediation (firms that invested >5% of budget in data prep saw 40% fewer post-go-live defects), and a phased regional rollout approach. Conversely, the most common pitfalls were underestimating custom code remediation effort, insufficient testing of cross-module integration scenarios, and organizational resistance from power users comfortable with legacy transactions.

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